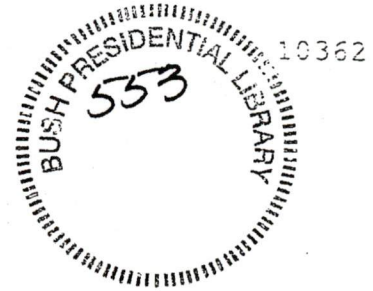


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THE WHITE HOUSE
WASHINGTON



MEMORANDUM OF TELEPHONE CONVERSATION

SUBJECT: Telephone Conversation with Prime Minister
Felipe Gonzalez of Spain (U)

PARTICIPANTS: The President
Prime Minister Felipe Gonzalez
Interpreter: Lillian Nigaglioni
Notetaker: Adrian Basora (U)

DATE, TIME December 23, 1989, 8:05 - 8:35 am EST
AND PLACE: The Oval Office (U)

The President telephoned Prime Minister Felipe Gonzalez of Spain concerning the Panama situation. (U)

The President: Merry Christmas! (U)

PM Gonzalez: The same to you. (U)

The President: I would like to fill you in on the situation in Panama. As you know, we made every effort to use multilateral means to solve this problem but all our attempts failed. This crazy man Noriega then issued a declaration of war. The declaration itself did not worry us, but it made us wonder where his behavior would lead. Then his people killed a U.S. Marine Lieutenant Colonel and a U.S. Navy Lieutenant was beaten and his wife sexually harassed. There was no way to predict what Noriega would do, and I decided that I had to act to protect U.S. lives. (S)

I very much regret the loss of life, and I want to express my personal condolences; I understand that a Spanish journalist was killed. (S)

PM Gonzalez: That is correct. (S)

The President: I hope your airplane sent to repatriate the body had already landed. (S)

PM Gonzalez: No, it has not yet arrived, and I had wanted to request that you assist us in this regard. (S)

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2000-0429-F
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The President: I had instructed our forces in Panama to facilitate its landing. As soon as I hang up I will call the Pentagon and make sure that proper instructions are given to our Southern Command. (S)

PM Gonzalez: I have a few comments that I would like to make about the situation in Panama. (S)

Mr. President: Please go ahead. (S)

PM Gonzalez: The way things stand, it will be extraordinarily difficult to find a reasonable way out. I have talked to our Ambassador in Panama and to numerous Panamanians as well as to Carlos Andres Perez, and I will soon be calling Endara and Arias Calderon. (S)

We have a big problem with Spanish public opinion, and it is important that our Ambassador be able to move freely in Panama in order to look after our Spanish community there. (S)

I think that it is very important to set up an airlift of food and medicine from the U.S. to Panama. Otherwise, the desperation of the people will produce more disorder because of the shortages. The best method of establishing civilian control of the neighborhoods is to set up points of distribution of food and medicine, thus showing the presence of the new civil authorities. (S)

I believe the massive arrests of Panamanian government officials who were not closely linked to Noriega is a major mistake and could cause a deterioration of the situation. It is still possible for the new authorities to issue a call to the National Guard (PDF) to rally to the new government and rejoin the PDF. But this must be done in a non-humiliating way and with appropriate guarantees. Otherwise, U.S. forces will need to remain well beyond a month and pockets of resistance will fester for a long time. The operation has failed so far in terms of public order and in reestablishing civil authority. It is important to correct this. If you feel we can help in the reconstruction and reconciliation process, I will take the necessary measures to do so. (S)

The President: I am sure the Panamanians will welcome this very much. While we were talking I had my military aide check with the Pentagon and he assures me that the Spanish plane that you have sent is cleared to land. (S)

Endara has recruited 100 police officers to work with the military police. He has also begun to make government appointments and to begin governing, so that the Panamanian people and world opinion will see that he is in control. The problem for Endara is not the PDF but the Dignity Battalions. These people are basically thugs and are hiding in buildings and

sniping. The problem will be improved greatly if Noriega can be brought to justice, but so far we have been unable to find him.

PM Gonzalez: I agree that the problem is with the Dignity Battalions, but some PDF are fighting alongside them. This is why it is necessary to reconstruct the PDF. The method Endara is using will not work. He will not regain public order unless the PDF is largely reconstructed. ~~(S)~~

The President: That is right, and this is exactly what we want to do. We have no argument with the PDF, just with Noriega. Many of the PDF officers that were in prison are being talked to about a reorganization of the PDF, and I think its new head will be announced soon. ~~(S)~~

PM Gonzalez: Yes, I understand that a Lieutenant Colonel has already been named with the rank of Colonel. Spain will try to get some of the PDF officers who have not yet reincorporated to do so. But U.S. agreement will be needed to permit this to happen. ~~(S)~~

I want to repeat my point that there is an urgent need for food and medical supplies. ~~(S)~~

Mr. President: That is a good point, and I think this has already been started. But your suggestion is a good one and I will call right away to make sure that the airlift is on track. ~~(S)~~

PM Gonzalez: It is essential to win back internal public opinion in Panama, and in Latin America, with massive humanitarian assistance. ~~(S)~~

The President: The moment that Endara took office the U.S. was able to lift its sanctions. This will help the economy greatly, but it will take a few days. It will also give legitimacy to the Endara government and help the people of Panama by restoring the economic situation. ~~(S)~~

PM Gonzalez: This is good, but let me stress again that food and medicine are urgently needed. ~~(S)~~

The President: Thank you and Merry Christmas. You can count on us to keep working on the restoration of civil order. ~~(S)~~

Mr. President: Yes, I remember. That is good and we do want to seek their reincorporation into the PDF with honor and dignity. If you have specific suggestions of officers that want to rejoin

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and are willing to work under elected civilian authorities, Endara would want to see them incorporated. Perhaps you can have your Ambassador in Washington or Panama give us the specific names. (S)

What do your contacts in Panama say about the whereabouts of Noriega. Is he in the city? (S)

PM Gonzalez: I have the impression that he is not in the city but he is using the survival techniques that he knows well. (S)

Mr. President: Do you know about the things that were found in his headquarters - \$2,000,000 in cash, narcotics, witchcraft, pictures of Hitler? (S)

PM Gonzalez: Yes. (S)

The President: Thank you very much and I look forward to working with you. I know that this action has caused anxiety, but it will result in democracy being restored in Panama. This is something we had to do. We can not permit U.S. citizens to be brutalized and we have rights under the Treaty. But the Treaty will go forward and now we will be able to get a Panamanian, nominated by Endara, confirmed by the U.S. Senate as the Head of the Panama Canal authority. (S)

PM Gonzalez: It is very important how we come out of this. What we need is an effective way out that is conciliatory and has a civilian character. This is important for both Latin America and for the international community. (S)

Mr. President: I agree. The only thing that we cannot permit is a return of Noriega. (S)

PM Gonzalez: I agree. We will need a civilian outcome that totally eliminates a return of Noriega. (S)

Mr. President: Have a wonderful New Year. We will work this out peacefully. I am up here at Camp David for the weekend and it is very cold! (S)

PM Gonzalez: Please give my greetings to your wife. (S)

The President: Barbara is right here, and I will do that. (S)

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Withdrawal/Redaction Sheet

(George Bush Library)

Document No. and Type	Subject/Title of Document	Date	Restriction	Class.
06. Memorandum	To: Brent Scowcroft From: Robert Hutchings Re: Romania (2 pp.)	12/22/89	(b)(1)	S

Collection:

Record Group: Bush Presidential Records
Office: National Security Council
Series: European / Eurasian Directorate Central Chron File
Subseries:
WHORM Cat.:
File Location: December 1989 [1]

Date Closed: 5/13/2011	OA/ID Number: 30503-001
FOIA/SYS Case #: 2011-0002-F	Appeal Case #:
Re-review Case #:	Appeal Disposition:
P-2/P-5 Review Case #:	Disposition Date:
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By SS NARA, Date 9/12/25

12/22/89

AB

POINTS TO BE MADE FOR TELEPHONE CONVERSATION WITH
PRIME MINISTER FELIPE GONZALEZ

FILE

- I tried to reach you early Wednesday because I wanted to tell you personally the reasons why I felt I had no choice but to intervene against General Noriega.
- But I am calling you now simply to express my personal regret and condolences at the death of a Spanish journalist in Panama City.
- I have instructed the U.S. forces in Panama to arrange for the landing of the Spanish Red Cross plane that you wish to send to Panama to repatriate the body and to deliver humanitarian supplies.
- I very much regret the loss of life in Panama, and I would not have ordered U.S. troops to intervene if we had not exhausted all other alternatives.
- Unfortunately, Noriega even removed the alternative of our doing nothing when he declared a state of war with the U.S., and the next day the PDF killed an unarmed American serviceman and beat another serviceman and sexually harassed his wife. With 35,000 U.S. lives to protect in Panama, I believe I had no choice but to put an immediate end to this situation before more innocent lives were lost.
- I will remove the augmented U.S. troops from Panama as soon as it is possible, and any steps that can be taken to assist the democratically-elected Endara government to assert effective authority throughout Panama will help speed this

process. Increased international recognition and assistance to Endara would be very constructive.

-- As I have often said, I value your advice and your influence in Latin America and elsewhere. I hope you will share your views with me as the situation in Panama unfolds.

-- (If Gonzalez raises the issue of asylum for Noriega:) Our current objective is to capture Noriega and to bring him to justice in the U.S. As you know, there was a period when we negotiated with him toward a voluntary departure based on asylum in Spain and no extradition to the U.S., but he simply used the negotiation to buy time and consolidate his position.

NATIONAL SECURITY COUNCIL
WASHINGTON, D.C. 20506

December 21, 1989

ACTION

MEMORANDUM FOR BRENT SCOWCROFT

THROUGH: ADRIAN BASORA (ACTING) *AAB*
FROM: ROBERT L. HUTCHINGS *RZH*
SUBJECT: Presidential Report to Congress on Cyprus

At Tab I is a memorandum from you to the President asking him to sign the bimonthly report to Congress on Cyprus (Tab A). The report was submitted by the State Department, and covers the period September 1 to October 31. Since the last report no formal intercommunal negotiations have been held. The UN Secretary General, however, met first with Cyprus President Vassiliou in New York on October 3, and separately a week later with Turkish Cypriot leader Rauf Denktash. The President also met with Vassiliou, while Denktash was hosted by Eagleburger. Both Cypriot leaders left Washington fully aware that the U.S. continues to support a negotiated settlement.

Virginia *W*ampley concurs.

RECOMMENDATION

That you sign the memorandum to the President at Tab I.

Attachments

Tab I Memorandum for the President
Tab A Report to Congress
Tab II State Incoming

THE WHITE HOUSE
WASHINGTON

ACTION

MEMORANDUM FOR THE PRESIDENT

THROUGH: OFFICE OF THE EXECUTIVE CLERK
FROM: BRENT SCOWCROFT
SUBJECT: Report to Congress on Cyprus

Purpose

To forward to Congress the attached report on Cyprus.

Background

You are required by law to submit to the Congress a bimonthly report outlining Administration efforts to help resolve the Cyprus dispute. The attached report covers the period September 1 through October 31, 1989.

Since the last report no formal intercommunal negotiations have been held. Both communities, however, expressed a willingness to return to the negotiating table. With this in mind, the UN Secretary General met first with Cyprus President Vassiliou in New York on October 3, and separately a week later with Turkish Cypriot leader Rauf Denktash. The Secretary General then ordered a review of the entire negotiating situation since August 1988. Once this is completed he will consult again with each community, perhaps toward a further round of talks.

In addition to your meeting with Vassiliou and Larry Eagleburger's with Denktash in October, both Cypriot leaders had a range of meetings at State and on the Hill. They left Washington fully aware of our continued support for the negotiating process.

RECOMMENDATION

That you sign the report to Congress at Tab A.

Attachment

Tab A Report to Congress

cc: Vice President
Chief of Staff

Department of State

Draft Letter

Dear Mr. Speaker:

(Dear Mr. Chairman:)

In accordance with Public Law 95-384, I am submitting to you this bimonthly report ^{covering the period September 1 through October 31, 1989,} on progress toward a negotiated settlement of the Cyprus question.

Since my last report to you, no formal intercommunal negotiations have been held. By the end of October, leaders in both communities were expressing a willingness to return to the negotiating table, and to work in good faith toward completion of a draft outline for a Cyprus settlement.

To bridge the gap which existed between the two sides, the U.N. Secretary General met first with Cyprus President Vassiliou in New York on October 3, and separately a week later with Turkish Cypriot leader, Rauf Denktash. A week after this second meeting, ~~the~~ Secretary General issued a statement indicating that he ~~had~~ ordered a review of the entire negotiating situation since August 1988, and that once this was completed, he would consult again with each of the parties with a view to inviting them to begin a further round of talks.

Both Mr. Vassiliou and Mr. Denktash used the occasion of their visits to the United States to spend two additional days in Washington. I met with President Vassiliou when he was here. Secretary of State Baker and National Security Advisor Scowcroft joined me in that meeting. Mr. Vassiliou also saw separately members of Congress, Deputy Secretary of State Lawrence Eagleburger and the U.S. Special Coordinator for Cyprus.

Mr. Denktash came to Washington on October 12 and 13. He met with members of Congress and the U.S. Special Coordinator for Cyprus. Deputy Secretary of State Eagleburger hosted a luncheon in honor of Mr. Denktash.

In these Washington meetings, officials in my Administration stressed to both Cypriot leaders our unqualified support for continuation of the intercommunal negotiating process under the aegis of the Secretary General. Only this process, we emphasized, offered the possibility of success. We therefore urged both parties to return to the negotiating table as soon as possible to complete work on the draft outline for a settlement. Both parties also were told that the U.S. did not see continuation of the status quo as a solution to the Cyprus problem.

We also encouraged the Greek and Turkish Cypriot leadership to take advantage of other opportunities to pursue bicomunal cooperation. One such fruitful area is demanning of posts along the buffer zone, conducted under UNFICYP auspices, to follow on the successful demanning of posts in Nicosia agreed to last May.

In sum, both Cypriot leaders left Washington fully aware that U.S. interest in a negotiated settlement remained strong and that we would continue to give the most active support to United Nations' efforts to resume the intercommunal negotiating process and keep it going in a meaningful manner.



S/S 8926080

United States Department of State

Washington, D.C. 20520 9493

November 24, 1989

MEMORANDUM FOR BRENT SCOWCROFT
THE WHITE HOUSE

Subject: The President's Report to Congress on Cyprus

The Department submits the attached draft Presidential report on Cyprus for approval and transmittal to the Speaker of the House of Representatives and the Chairman of the Senate Foreign Relations Committee, in accordance with Section 13 (c) of PL 95-384, the International Security Assistance Act of 1978. The law requires that the President send to Congress every 60 days a report on the progress made during the period toward "conclusion of a negotiated settlement of the Cyprus problem".

The last report was submitted to Congress on September 22, 1989, and, in accordance with the 60 day requirement, a report should reach Congress as soon as possible.


J. Stapleton Roy
Executive Secretary

Attachment:
Draft Report.



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